

Corporate Treasury Centre Policy and Global Business

Introduction

Despite the challenges arising from trade tensions, the centre of gravity of economic growth continues to shift from the Organization for Economic Cooperation and Development (OECD) countries to Asia. The importance of Asia, particularly Greater China, to the revenue and profit of multinational companies (MNCs) is increasing. To support this growth, MNCs need a Corporate Treasury Centre (CTC) to support their treasury activities in Asia time zones.

At the same time, Mainland Chinese firms are becoming more important. In 2014, the overseas direct investment (ODI) of Mainland Chinese enterprises exceeded the foreign direct investment (FDI) of MNCs into Mainland China. Among the Global Fortune 500 in 2018, 120 are Chinese names (ranked #2 after the US's 126 names). Mainland Chinese firms also need to have a CTC to centralize their international treasury management.

The positioning of a CTC can vary depending on the types of organization:

Types of organization	Positioning of CTC
Hong Kong headquartered	Full group level corporate treasury function
Mainland China headquartered	International platform of group treasury to support their offshore business
Other global MNCs	Regional treasury function to support Asia time zones needs

But what is a CTC? What is its purpose? And how does it work?

Key concepts

A CTC is the platform to centralize treasury functions within a company.

Scope of CTC function	Key policy related concepts
 Establishing a Corporate Treasury Centre (CTC) in Asia Centralised management of ❖ Corporate liquidity ❖ Forex ❖ Interest rate ❖ Debt financing ❖ Collection and payment ❖ Working capital	• Inland Revenue (Amendment)(No.4) Bill 2015 • Inland Revenue (Amendment)(No.2) Ordinance 2016 • Concessionary profit tax rate for qualifying CTC • Corporate treasury transaction defined in CTC policy • Corporate treasury services defined in CTC policy • Deduction for interest on certain intra-group lending transactions • Safe Harbour Rule • Inter-company loan or intra-group financing • CTC as an In-house bank defined by the Legislative Council Brief made by the Inland Revenue Department (IRD) • Fund transfer pricing and base erosion and profit shifting tax rules • Common reporting standard tax rules • Department Interpretation and Practice Notes (DIPN) No. 52 "Taxation of Corporate Treasury Activity" issued by IRD

Details of the government's CTC policy are available in another Technical Article issued in 2016¹. The focus of this article is on how MNCs can benefit from the CTC policy to enhance their international treasury function to support their global business, and the outlook of Hong Kong as the hub of CTCs.

Treasury risk is a key risk within Enterprises Risk Management (ERM) of any company. The purpose of a CTC includes the following:

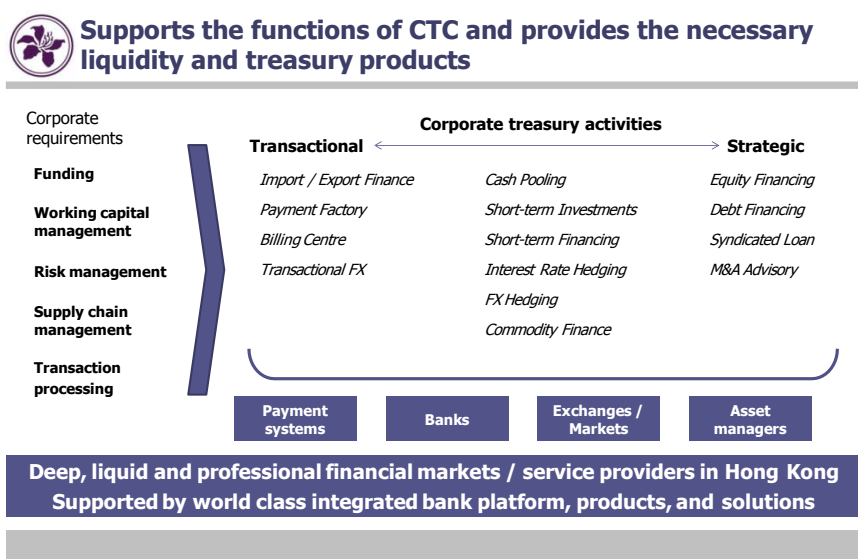
1. Ensure zero liquidity risk at all times i.e. there is no way a company will go bankrupt or operations shut down due to insufficient cash. To achieve this purpose, a CTC has to maximize the degree of cash concentration through –
 - Effective top down treasury policy mandate (administrative control)
 - Highly centralized organization structure, process owner and accountability system
 - Adoption of efficient liquidity management solution from banks (e.g. global cash pool)
2. Ensure minimized financing cost using a CTC as an in-house bank to recycle cash internally. This includes the efficient netting of inter-company transactions to minimize foreign currency cost and cross-border settlement fees. A CTC needs to achieve tax compliance as interest cost or service fees applied to intercompany transactions have to follow the OECD's Base Erosion and Profit Shifting (BEPS) rules.
3. Ensure all treasury risks (e.g. foreign exchange risk, interest rate risk, bank credit exposure, derivative counterparty risk, commodity risk) are centrally managed so that natural hedging can be applied and only residual risk exposed is subject to partial or full hedge.
4. Ensure internal control and operational risks are adequately managed at transaction level using the right people, process and technology infrastructure (including banking partners).
5. Ensure strategic treasury decisions (e.g. debt versus equity funding, target credit rating, maturity profile of debt, dividend) are aligned with company business goals.
6. The concessionary tax rules available to companies with a Hong Kong CTC allow MNCs to structure a more tax-efficient centrally-managed treasury organization, supporting global business.

The following are the common cash flow types required to be managed by MNCs:

Type of cash flow	Entities involved	CTC design and tax issues
Operation-related cash flow	A trading centre, re-invoicing centre or sourcing centre	CTC to support cash flow pooling within a business group (BG) CTC to support cash flow pooling between two or more different BGs <u>Tax issue:</u> No withholding tax but may have to pay import tariffs
Investment-related cash flow	Investment holding company providing equity or shareholder loan; receiving dividend	CTC to lend funds to investing entity to finance its investment CTC to borrow funds from such entity after it receives dividend <u>Tax issue:</u> Dividend may be subject to withholding tax (rate may be lower if there is double tax treaty (DTT))
Financing-related cash flow	Group entity raising funds through equity issuance or debt issuance	CTC to borrow from the financing entity (either Group parent or another BG entity) and lend to another BG entity CTC can also raise funds on a standalone basis <u>Tax issue:</u> Financing entity may not enjoy tax concessions available to CTC
Treasury-related cash flow	Intra-group financing or inter-company lending	CTC to intermediate liquidity between intra-group entities <u>Tax issue:</u> Profit arising can enjoy 8.25% tax concession; interest payable from outside Hong Kong may be subject to withholding tax e.g. 10% if interest is paid from China but reduced to 7% due to DTT

Application

CTCs can undertake a range of activities, from transactional to strategic in focus as the following diagram shows:



(Source: HKMA)

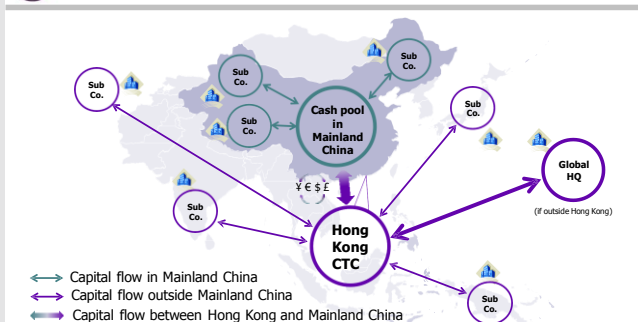
A common application of CTCs is to use its global cash pool in Hong Kong to connect to the onshore RMB cash pool in Mainland China through the Cross Border Two-Way RMB Cash Pooling Scheme introduced by the Chinese Government in 2014.

Using CTCs to utilize the trapped cash in Mainland China

What are the steps



Connecting the cash pool in Mainland China with the rest of the world



(Source: HKMA)

1. Set up an onshore RMB cash pool in China
2. Set up a Cross Border Two-Way RMB Cash Pooling Scheme (e.g. Pan-China versus Free-Trade Zone scheme)
3. Connect the Cross Border Pool to the CTC global pool in Hong Kong
4. Use the CTC as the platform (in-house bank) to lend funds to other BG entities
5. Evaluate the effectiveness of alternative liquidity management design/solutions with banks
6. Obtain professional opinion from tax advisors to ensure compliance to BEPS rules and determine the tax cost related to such intra-group financing
7. Ensure proper documentation e.g. authorisation provided by the Group Treasury Policy; treasury services agreement between BGs and CTC; fund transfer pricing table etc.
8. Prepare the supporting required for annual CTC tax filing

CTCs and the development of the Greater Bay Area



The centre of China's most dynamic integrated economic region – The Greater Bay Area



"... a city cluster in the Guangdong-Hong Kong-Macao Greater Bay Area, *giv[ing]* full play to the distinctive strengths of Hong Kong and Macao, and *elevat[ing]* their positions and roles in China's economic development and opening up"

- Premier Li Keqiang, March 2017

- ❖ Covers 11 cities (9 cities in Guangdong, Hong Kong and Macau):
 - Population greater than UK's
 - GDP comparable to Australia's
- ❖ More trade activities and greater flows of talents and capital within the Greater Bay Area are conducive to the development of the banking and wealth management services sector.

Source: HKTDC; Fortune

Nine Mainland Chinese cities, together with Hong Kong SAR and Macau SAR constitute the Greater Bay Area (GBA). More GBA MNCs are expected to set up CTCs in Hong Kong to take advantage of the tax concession and the market depth and breadth of Hong Kong as an international financial centre. Other Privately Owned Enterprises (POEs) such as Huawei and State-Owned Enterprises (SOEs) such as CGNPC and Yue Xiu Enterprises already have significant offshore treasury centre operations in Hong Kong.

Global MNCs (e.g. Siemens) and Asian MNCs (e.g. Kerry Logistics) also have their regional treasury centre in Hong Kong. Local companies like Li & Fung, CLP, HK Electric, Swire Group and many other blue chips also have headquarters group treasury functions in Hong Kong.

A CTC case study

TCL the global electronics MNC headquartered in the GBA city of Huizhou has made the strategic decision to set up a CTC in Hong Kong. According to Ms. Maggie Li (the General Manager, TCL Finance) who is the project sponsor and leader of the CTC initiative, Hong Kong provides the right financial market and infrastructure for TCL to build an international treasury in-house bank to support its increasingly global business. The CTC will be TCL's offshore treasury platform. Maggie also heads the corporate finance company which is TCL's onshore treasury platform. TCL was a top-performer among Mainland China corporate finance companies as the group treasury is able to achieve very high degree of cash concentration so it can pool its liquidity efficiently and reduce unnecessary debt cost.

Outlook

Industry Trend

Gateway between Mainland China and the rest of the world

- ✦ Hong Kong currently intermediates some 60% of China's direct investment flows in both inward and outward directions

FDI into China

Year	FDI into China (US\$ billion)	Originated from Hong Kong (%)
1996	42	50%
2006	73	28%
2016	134	61%

CAGR from 1996-2016: 6%

ODI from China

Year	ODI from China (US\$ billion)	Destined for Hong Kong (%)
1996	0.5	25%
2006	21	33%
2016	196	58%

CAGR from 1996-2016: 35%

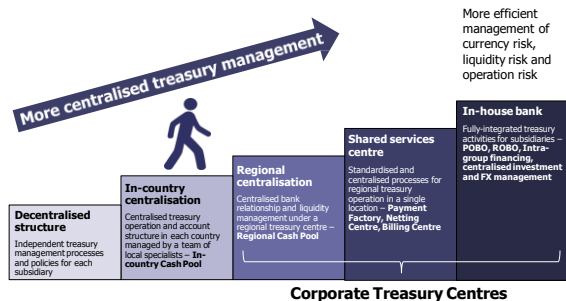
Sources: CEIC; Ministry of Commerce of PRC

Future development of Hong Kong as the hub of CTCs

- FDI inflows will continue as Mainland China continues to open its service sector and allow foreign investors to produce and sell locally to serve the domestic consumer market
- ODI outflows to continue as the scale of Belt and Road investment expands
- Hong Kong provides the flexibility to tap the onshore and offshore markets for better pricing and products
- Two-third of State-owned Assets Supervision and Administration Commission SOEs and a growing number of provincial SOEs will set up CTCs in Hong Kong. POEs will do the same to support global business
- More Hong Kong based companies to set up their own CTCs so as to be eligible intra-group financing which has been expanded to include onshore to onshore entities
- MNCs are redesigning their tax structure under BEPS. Hong Kong CTC regime shall be an attractive option



Different stages of development for CTCs



(Source: HKMA)

- Over time, CTCs evolve from improved control and visibility to more centralized transaction processing
- CTCs evolve from an 'agency' model to a 'principal' model
- Under the new hedge accounting rules in IFRS 9 *Financial Instruments*, there are benefits supporting the use of CTCs for hedging entity:
 - a) CTCs achieve hedge effectiveness with partial hedge (hedging ratio not 100%) if foreign exchange exposure of all BG entities are netted
 - b) Using CTCs instead of the BG entity as the hedging entity
- The use of Robotics Process Automation, Distributed Ledger Technology and other Fintech applications will enable the traditional processes outsourced to shared service centre be performed at the CTC without a high cost burden. A CTC can perform more value creation activities with the use of Big Data

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The author has served HKICPA as QP Assessor since its inception and developed the course "Strategic Finance" module of HKICPA flagship Financial Controllershship Programme when it was launched in 2016. He was the President of CIMA Hong Kong in 1997 and the Chairman of the Hong Kong Association of Corporate Treasurers during 2000-2012. He has been appointed by the Hong Kong Monetary Authority as Executive Board Member of the Treasury Markets Association since 2006 and a member of the Working Group on Corporate Treasury Development since 2012. He has served as Director of Finance/Treasurer of a global shipping group and the Regional Director and Treasurer of AIA/AIG. Before he joined Standard Chartered Bank as Executive Director of Treasury Solutions, he served as Consulting Director of PwC specialised in treasury advisory practice in Greater China.